

- WorldCom filed bankruptcy in July 2002.
- WorldCom admitted in August 2002 that it had overstated its earnings by more than \$7 billion.³
- WorldCom's bonds defaulted when the company could no longer cover their interest charges; the bonds lost more than 80% of their original value.

The Vodka-and-Burrito Portfolio

Graham considered foreign bonds no better a bet than junk bonds.³ Today, however, one variety of foreign bond may have some appeal for investors who can withstand plenty of risk. Roughly a dozen mutual funds specialize in bonds issued in emerging-market nations (or what used to be called “Third World countries”) like Brazil, Mexico, Nigeria, Russia, and Venezuela. No sane investor would put more than 10% of a total bond portfolio in spicy holdings like these. But emerging-markets bond funds seldom move in synch with the U.S. stock market, so they are one of the rare investments that are unlikely to drop merely because the Dow is down. That can give you a small corner of comfort in your portfolio just when you may need it most.⁴

Dying a Trader's Death

As we've already seen in Chapter 1, day trading—holding stocks for a few hours at a time—is one of the best weapons ever invented for committing financial suicide. Some of your trades might make money, most of your trades will lose money, but your broker will always make money.

And your own eagerness to buy or sell a stock can lower your return. Someone who is desperate to buy a stock can easily end up having to bid 10 cents higher than the most recent share price before any sellers will be willing to part with it. That extra cost, called “market impact,” never shows up on your brokerage statement, but it's real. If you're overeager to buy